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Case Number: 21CHCV00467 Hearing Date: September 3, 2026 Dept: F43

Dept. F43

Hearing Date: 09-03-26

Case # 21CHCV00467, Silvas v.

Central Valley Occupational Medical Group, Inc., et al.

Trial Date: N/A

MOTION FOR ATTORNEY

FEES

MOVING PARTIES: Defendants ProHealth Professional Services, LLC; Regency Surgery Center; Central Valley Occupational Medical Group, Inc.; Pro-Health Valley Occupational Medical Group, Inc.; and Sean Younai

RESPONDING PARTY: Plaintiff Vanessa Silvas

RELIEF REQUESTED

Order awarding defendants \$973,686 in attorney fees.

RULING: Motion is denied.

SUMMARY OF ACTION

On June 22, 2021, plaintiff Vanessa Silvas

(Plaintiff) filed this employment action against defendants ProHealth Professional Services, LLC, Regency Surgery Center, Central Valley Occupational Medical Group, Inc., Pro-Health Valley Occupational Medical Group, Inc., and Sean Younai (Defendants). The operative Third Amended Complaint asserted twelve causes of action for violations of the Labor Code, violations of the Fair Employment and Housing Act (FEHA), wrongful termination in violation of public policy, and intentional infliction of emotional distress.

On December 1, 2025, Defendants moved for summary judgment on the Third Amended Complaint. The court granted the motion based on Plaintiff's lack of standing. Judgment was entered for Defendants on April 23, 2026.

Plaintiff has filed an appeal with the California Court of Appeal's Second Appellate District.

On May 14, 2026, Defendants filed a Memorandum of Costs, seeking \$118,076.20 in costs, and Plaintiff moved to tax those costs. On July 31, 2026, the court granted the motion in part, awarding Defendants costs in the reduced amount of \$113,621.20.

On June 26, 2026, Defendants filed the instant motion for \$973,686 in attorney fees pursuant to Code of Civil Procedure sections 1032 and 1033.5, Government Code section 12965, Labor Code section 218.5, and Code of Civil Procedure 128.5. Plaintiff filed an opposition on August 19, 2026, and Defendants replied on August 27, 2026.

ANALYSIS

A. Awarding Attorney

Fees When defendant Employer is the prevailing party

Defendants assert they are entitled to attorney fees on the following grounds: Gov. Code, § 12965, subd. (c)(6) (FEHA claims); Lab. Code, § 218.5, subd. (a) (Labor Code claims); and Code Civ. Proc., § 128.5, subd. (a) (Plaintiff's supposed bad faith filing of frivolous claims). (Mot. at pp. 6:17-7:7.)

A prevailing party is entitled to recover costs, as a matter of right, in any action or proceeding absent a statute expressly noting otherwise. (Civ. Proc. Code, § 1032, subd. (b).) Otherwise, a court has no discretion to deny costs to a prevailing party. (Nelson v. Anderson, (1999) 72 Cal.App.4th 111, 129.) A prevailing party may recover its attorneys' fees "as allowable costs" when authorized by contract, statute, or law. (See Code Civ. Proc., § 1033.5, subd. (a)(10).) A "prevailing party" includes "a defendant in whose favor a dismissal is entered" and "a defendant as against those plaintiffs who do not recover any relief against that defendant." (Code Civ. Proc., § 1032, subd. (a)(4).)

Defendants appear to be prevailing parties pursuant to Section 1032, subdivision (a)(4) because Plaintiff has not recovered any relief against Defendants.

However, Government Code section 12965, subdivision (c) and Labor Code section 218.5, subdivision (a) serve as statutory exceptions stating otherwise under section 1032, subdivision (b). (See Murrillo v. Fleetwood Enterprises, Inc. (1998) 17 Cal.4th 985, 991; Plancich v. United Parcel Service, Inc. (2011) 198 Cal.App.4th 308, 313.)

1. Gov. Code, § 12965, subdivision (c)

Notwithstanding Code of Civil Procedure section 998, a prevailing defendant may recover attorney fees only upon a court finding the action was frivolous, unreasonable, or groundless when brought or the plaintiff continued to litigate after it clearly became so. (Gov. Code, § 12965, subd. (c)(6).)

Courts have held that a dismissal on jurisdictional or standing grounds, without any consideration of the merits, does not automatically satisfy the "frivolous, unreasonable, or groundless" standard.

In Williams v. Chino Valley Independent Fire District (2015), the California Supreme Court held that the Christiansburg

Garment Co. v. EEOC standard governs discretionary attorney fee awards

to prevailing parties under Section 12965, subdivision (c). (61 Cal.4th 97, 103-104.) Under the standard, “[a] prevailing defendant,

however, should not be awarded fees and costs unless the court finds the action was objectively without foundation when brought, or the plaintiff continued to litigate after it clearly became so.” (Williams

v. Chino Valley Independent Fire District (2015) 61 Cal.4th 97, 115 [citing Christiansburg Garment Co. v. EEOC (1978) 434 U.S. 412, 421-422].)

Under the Christiansburg Standard, the

court must make express findings that Plaintiff’s claims are frivolous, baseless, or without merit. (See Rosenman v.

Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro (2001) 91

Cal.App.4th 859, 869-874 [discussing various employment discrimination cases finding frivolity where an employee lied about what occurred, an employee fabricated evidence and lied to the court, and an employee testified her testimony was not credible].) “Meritless”

means the underlying claims were without any foundation or factual support. (Robert v. Stanford

University (2014) 224 Cal.App.4th 67, 70; Baker v. Mulholland Security & Patrol, Inc. (2012) 204 Cal.App.4th 776, 784 [some evidence of claim sufficient to show no frivolity or lack of merit even if the plaintiff does not prevail].)

Jurisdictional defects do not equate to

frivolity or lack of merit, especially where the underlying facts of a claim have not been addressed.

In Hon v. Marshall (1997), the Court

of Appeal observed that in FEHA cases when summary judgment is granted solely because of a jurisdictional defect, the trial court makes no consideration of the merits of the plaintiff’s underlying claims. (Hon v. Marshall (1997) 53 Cal.App.4th 470, 476-477.) The court looked to

federal decisions holding that when a complaint is dismissed for lack of jurisdiction, the defendant cannot be a prevailing party because the defendant has not prevailed on any issue central to the merits. (Hon v. Marshall (1997) 53 Cal.App.4th 470, 475-478 [noting lower federal court disinclination to award a defendant attorney fees in analogous Title VII actions that are dismissed for plaintiff’s failure to comply with jurisdictional prerequisites].) The Court reasoned that permitting fee awards in such circumstances would provide an incentive for plaintiffs to file in

federal courts under federal civil rights statutes, thereby undermining the policy of keeping California law as an effective remedy against employment discrimination. (Id. at pp. 477-478.)

Here, Defendants base their frivolity argument on Plaintiff's lack of standing and her continued litigation of her claims despite several court rulings addressing the standing issue—on a motion for judgment on the pleadings and demurrers. (Mot. at pp. 5:23-6:6.) However, the court's summary judgment ruling did not reach the merits of each cause of action. Rather, the analysis focused on the jurisdictional issue of standing.

Thus, the court cannot find based on the moving papers that Plaintiff's FEHA causes of action were frivolous, groundless, or without merit.

Therefore, the court does not award Defendants attorney fees under Government Code section 12965(c)(6) for Plaintiff's FEHA causes of action.

2. Labor Code, § 218.5, subdivision (a)

Labor Code section 218.5, subdivision (a) provides that “[i]n any action brought for the nonpayment of wages, fringe benefits, or health and welfare or pension fund contributions, the court shall award reasonable attorney fees and costs to the prevailing party if any party to the action requests attorney fees and costs upon the initiation of the action.” (Lab. Code, § 218.5, subd. (a).) However, if the prevailing party is not an employee, “attorney’s fees and costs shall be awarded” pursuant to Section 218.5 “only if the court finds that the employee brought the court action in bad faith.” (Id.; *Dane-Elec Corp., USA v. Bodokh* (2019) 35 Cal.App.5th 761, 774; 7 Witkin, Cal. Proc. (6th ed. 2026) Judgment, § 241(a).) “Although section 218.5(a) is [generally] a two-way fee-shifting statute, it has the potential to become a one-way or unilateral fee-shifting provision if . . . the trial court finds a plaintiff did not bring the wage claim in bad faith.” (*Dane-Elec Corp., USA*, supra, 35 Cal.App.5th at p. 773, citations omitted.)

Defendants contend Plaintiff brought her claims in bad

faith because the undisputed material facts demonstrated Plaintiff was a “salaried, exempt” employee yet she still pursued her claims. (Reply at pp. 7:20-8:1 [citing summary judgment motion undisputed material fact number 5].) Plaintiff did not dispute this fact. Moreover, Defendants contend Plaintiff concealed her bankruptcy case, never scheduled her Labor Code claims on her bankruptcy petition while actively negotiating a tolling agreement and settlement of the employment claims, and lacked standing to bring her Labor Code claims. According to Defendants, Plaintiff knew from the inception of this case and no later than October 13, 2023, that she lacked standing to bring her Labor Code claims. (Mot. at pp. 2:9-21, 8:25-9:10.)

In opposition, Plaintiff contends Section 218.5 only allows attorney fees as to one cause of action (the Fifth Cause of Action). (Opp. at p. 11:23-27.) According to Plaintiff, Defendants do not adequately brief subjective bad faith or demonstrate Plaintiff brought her claims in bad faith. At most, Defendants assert Plaintiff lacked standing and therefore, the wage claims were brought in bad faith. (Id. at p. 11:18-22.) Finally, Plaintiff contends Defendants’ answers tied their request for attorney fees to Code of Civil Procedure sections 128.5 and 128.7 and no pleading has ever invoked section 218.5. (Id. at p. 12:12-23.)

Although Plaintiff requested attorney fees under Section 218.5 in her Complaint, First Amended Complaint, and Second Amended Complaint, the Third Amended Complaint removes all references to Section 218.5. (Compl. ¶¶ 67; FAC ¶¶ 67; SAC ¶¶ 73; 3AC ¶¶ 27, 35.) Defendants’ answers requested attorneys’ fees for “frivolous” and “bad faith” claims pursuant to Code of Civil Procedure sections 128.5 and 128.7 rather than Labor Code section 218.5. (Answer at p. 7:13-17; Answer to the 3AC ¶ 32; Amended Answer to 3AC ¶ 31.) Because Plaintiff, a party in this matter, requested attorney fees pursuant to Section 218.5 in the original Complaint, “request attorney fees at initiation of case” requirement is met.

However, Defendants do not meet their burden of demonstrating “bad faith.”

In evaluating Section 218.5’s “bad faith” standard, courts have referenced the Consumer Legal Remedies Act (CLRA) which includes a similarly worded “bad faith” standard. (Corbett v. Hayward Dodge (2004) 119 Cal.App.4th 915, 920-924 [discussing Civ. Code,

§ 1780, subd. (d)]; USS-Posco Indus.

v. Case (2016) 244 Cl.App.4th 915, 222.) Bad faith “involves a factual inquiry into the plaintiff’s subjective state of mind” and whether “the plaintiff brought the action without ‘reasonable cause’ or without ‘the good faith belief that there was a justifiable controversy under the facts and law which warranted the filing of the complaint[.]” (Corbett v. Hayward Dodge, supra, 119 Cal.App.4th at pp. 923-924.)

In Ramos v. Garcia (2016), an employee sued a fellow employee, a manager, for violations of the Labor Code. (Ramos v. Garcia (2016) 248 Cal.App.4th 778, 783.) The trial court found that the defendant employee was not an owner or employer even though the defendant was a manager of the business. After prevailing on the employee’s Labor Code claims, the defendant sought attorney fees under Labor Code section 218.5, contending “it was reasonably clear from the beginning that [defendant] was not a proper defendant in the case and that he was not liable for any violations alleged in [plaintiff’s] complaint.” (Id. at p. 784.) The trial court granted he request. The Court of Appeal reversed the ruling, holding that even though the trial court found the defendant was not an employer, the court made no finding that the claim was filed in bad faith. (Id. at pp. 786, 791-793; see also Arave v. Merrill Lynch, Pierce, Fenner & Smith, Inc. (2018) 19 Cal.App.5th 525, 545 [reversing fee award where trial court made not finding of bad faith].) The Court “examine[d] the result gained on each cause of action” alleged against the defendant to determine eligibility for attorney fees under Section 218.5 and ordered the parties to pay their own attorney fees. (Ramos, supra, 248 Cal.App.4th at p. 791.)

In Cruz v. Fusion Buffet, Inc. (2020), the Court of Appeal applied the standard from Williams v. Chino Valley Independent Fire (2015), asking whether the action was objectively without foundation when brought, or whether the plaintiff continued to litigate after it clearly became so. (Cruz v. Fusion Buffet, Inc. (2020) 57 Cal.App.5th 221, 243-244.) Based on the evidence, the Court upheld the trial court’s finding of “no bad faith” even though the employee’s alter ego claims against individual corporate officers were unsuccessful, emphasizing the employee had presented corporate documents, financial records, and witness testimony to support her claims and she had difficulty obtaining financial documents through discovery. (Id. at pp. 243-245 [Courts must “resist the understandable temptation to engage in post hoc reasoning by concluding that, because a plaintiff did not ultimately

prevail, [the] action must have been unreasonable or without foundation.”.)

Here, the court finds no “bad faith” as lack of standing is the main reason the Labor Code claims were dismissed. First, Defendants’ assertion that Plaintiff did not dispute that she was a salaried, exempt employee at the time the claims accrued does not demonstrate “bad faith” because title alone is insufficient to establish a party is not an employee. (Eicher v. Advanced Bus. Integrators, Inc. (2007) 151 Cal.App.4th 1363, 1371-1372-1377 [employer has burden of providing duties test through factual showing of how employee spent their time]; Rodriguez v. Parivar, Inc. (2022) 83 Cal.App.5th 739, 745 [“This exemption is an affirmative defense, for which the employer bears the burden of proof.”].) Such a finding requires an extensive factual analysis concerning the party’s duties, responsibilities, and how the work was supervised.

Next, the court never made a factual finding that Plaintiff intentionally concealed her Labor Code claims. The court’s summary judgment ruling noted that Plaintiff did not properly schedule the claims in her bankruptcy petition and actively negotiated a tolling agreement and settlement for the claims while the bankruptcy case remained open and active. However, the evidence presented on summary judgment and with the instant motion is insufficient to demonstrate that Plaintiff or her counsel knowingly conspired to conceal the Labor Code claims or filed this matter knowing the claims remained property of the bankruptcy estate. In their Reply, Defendants further assert “bad faith” because they only discovered the bankruptcy upon hiring an investigator who uncovered the bankruptcy in September 27, 2023. (Reply at p. 8:4-7.) While the court acknowledges these assertions, Defendants provide no evidence that Plaintiff and her lawyer concealed the bankruptcy petition and case, prior to filing this action, in order to conceal a lack of standing to file her Labor Code claims. Although Plaintiff objected to discovery requests concerning the bankruptcy, Defendants do not provide the court with a copy of the objections to determine whether the objections were intentionally evasive. Furthermore, Defendants could have procured information about Plaintiff’s bankruptcy in a public database using Plaintiff’s name.

Finally, Plaintiff’s efforts to cure the bankruptcy issue from the October 2023 motion for judgment on the pleadings through each demurrer and amended complaint (attached the Trustee’s declaration) indicates Plaintiff may have believed the Trustee had abandoned any Labor Code claims

that may have been scheduled in the bankruptcy petition as an “unlawful firing” or “WC – unlawful firing” claim.

Thus, the court finds that Defendants do not meet their burden of demonstrating Plaintiff’s Labor Code causes of action were brought in “bad faith.”

Therefore, the court denies Defendants’ request for sanctions pursuant to Labor Code section 218.5, subdivision (a).

3. Code Civil Procedure section 128.5

Finally, Defendants seek attorney fees pursuant to Code of Civil Procedure sections 128.5.

Sanctions may be issued against a party who is guilty of “actions or tactics, made in bad faith, that are frivolous or solely intended to cause unnecessary delay.” (Code Civ. Proc., § 128.5, subd. (a).) Recovery is dependent on a finding of subjective bad faith. (See *In re Marriage of Sahafzadeh-Taeb & Taeb* (2019) 39 Cal.App.5th 124, 134-35.) A factually frivolous claim is “not well grounded in fact,” and a legally frivolous claim is “not warranted by existing law or a good faith argument for the extensions, modification, or reversal of existing law.” (*Peake v. Underwood* (2014) 227 Cal.App.4th 428, 440.) In either case, to obtain sanctions, the moving party must show the party’s conduct in asserting the claim was objectively unreasonable. (*Ibid.*) A claim is objectively unreasonable if any reasonable attorney would agree that is “totally and completely without merit.” (*Id.* at p. 448, citation.)

The moving party must follow a two-step procedure. First, the moving party must serve the motion requesting attorney fees as sanctions on the offending party. (*Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 698.) During the 21-day period after service, the offending party may withdraw the challenged pleading. (*Ibid.*) Second, if the offending party does not withdraw the challenged pleading during the 21-day period, the moving party may file the motion for sanctions. (*Ibid.*)

As an initial matter, Defendants failed to comply with the 21-day safe harbor requirement by failing to demonstrate the instant motion was served on Plaintiff 21 days before the motion was filed—June 1, 2026. Moreover, Defendants make no showing of bad faith or demonstrate the causes of action are factually frivolous. Defendants rely on a lack of standing argument, the demurrers and amended complaints, and Plaintiff's supposed "intentional" concealment of the bankruptcy case to support their motion.

Thus, Defendants do not meet their burden pursuant to Code of Civil Procedure section 128.5.

Therefore, the court denies Defendants' motion for \$963,686 in attorney fees.

CONCLUSION and ORDER

Defendants' motion for attorney fees is denied.

Defendants to give notice.